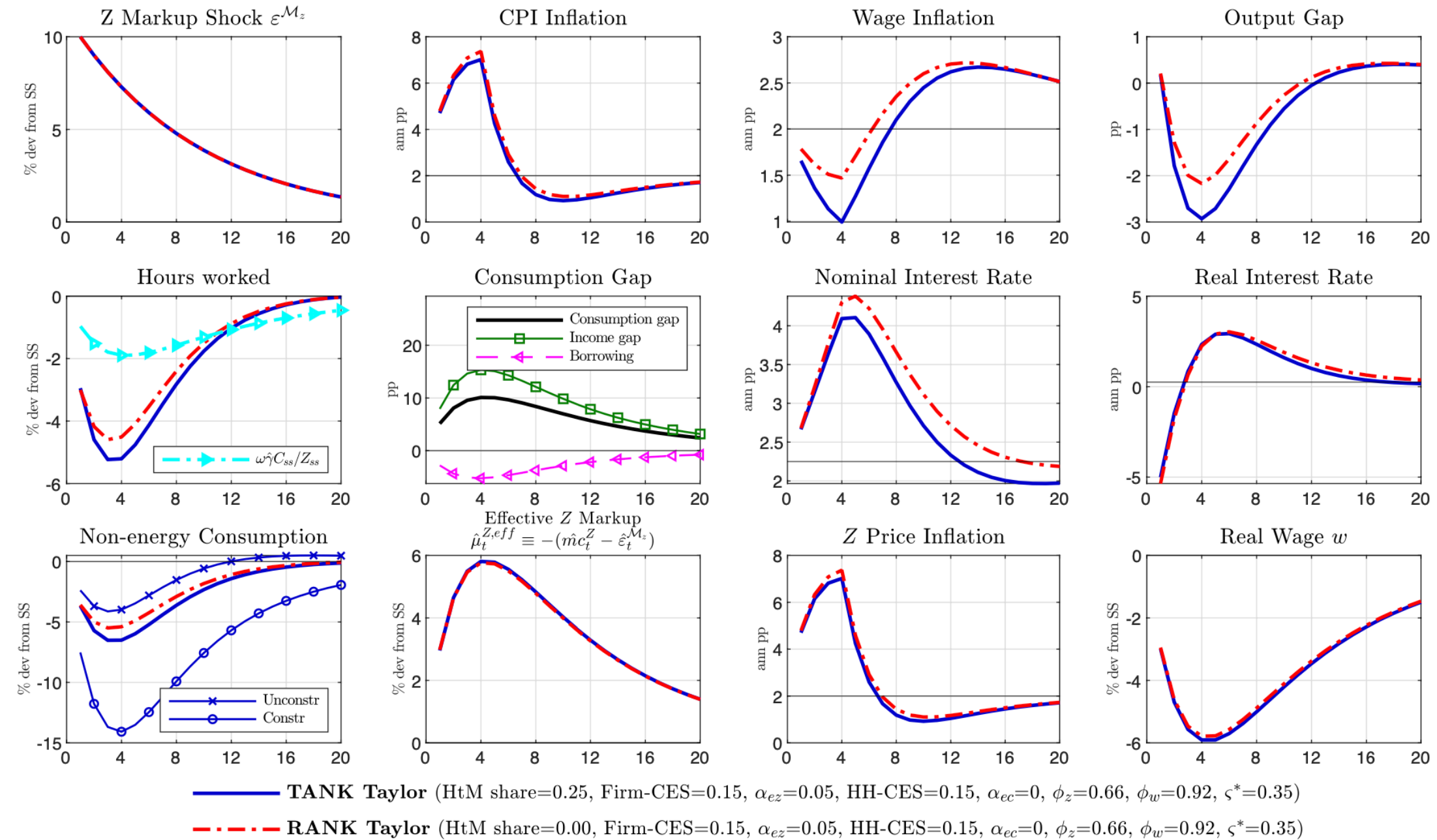


FIGURE 6: Dynamic Responses to a Price Markup Shock: Taylor policy for TANK vs RANK



Notes: This figure shows the IRFs of key model variables to an inflationary price markup shock. The central bank follows a Taylor rule. The blue (red) lines depict the TANK (RANK) case. In the second panel of the third row we show the responses for the 'effective' final output price markup, $\hat{\mu}_t \equiv -(\hat{m}c_t^Z - \hat{\varepsilon}_t^M)$. A positive markup shock thus increases firms desired markups and hence the actual 'effective' markup.